

IREN Limited

NASDAQ: IREN | Digital Infrastructure — Bitcoin Mining & AI Cloud / HPC Data Centers

RATING	12-MONTH TARGET	UPSIDE / (DOWNSIDE)	HORIZON
HOLD	\$75.00	+12.6%	12 months

Conviction: HIGH on volatility/valuation risk. CMP \$66.60 (last close 02-Jun-2026). Accumulate only into weakness — see Section 10.

Market Cap	\$23.80 Bn	Enterprise Value	\$25.55 Bn
CMP (last close)	\$66.60	52-Week Range	\$8.32 - \$76.87
Shares Outstanding	357.4 M	Float	327.9 M
P/E (TTM)	122.6x	P/B	8.5x
P/S (TTM)	31.4x	EV/Sales (TTM)	33.8x
EV/EBITDA (TTM)	173.6x	Book Value/Share	\$7.81
ROE (TTM)	7.7%	ROCE (TTM)	(3.4)%
Net Debt	\$1.75 Bn	Debt / Equity	1.49x
Beta (5Y)	4.18	Dividend Yield	Nil
Street Consensus	Buy (15 analysts)	Street Target	\$79.84 (+19.9%)

INVESTMENT THESIS (one line): Owned-power AI cloud pivot anchored by a \$9.7bn Microsoft contract - transformational, but priced for perfection after a 7x run.

Sector: Digital Infrastructure | Sub-sector: Bitcoin Mining transitioning to AI Cloud / HPC Colocation | Fiscal Year-end: 30 June
Report date: 03 June 2026 | Prepared by: Senior Equity Research - Digital Infrastructure & Compute
All financial data sourced from stockanalysis.com (fetched 03-Jun-2026); qualitative context from SEC 8-K filings, IREN press releases & the Q3 FY26 earnings call (07-May-2026). For information only - not investment advice.

2. INVESTMENT THESIS

- **Reason 1 - A real AI-cloud anchor, not a press release:** The \$9.7bn, 5-year Microsoft GPU-cloud contract (signed 03-Nov-2025, NVIDIA GB300, 20% prepayment) plus a \$3.4bn NVIDIA partnership give IREN ~\$3.1bn of ARR already under contract (\$1.9bn Microsoft + \$0.7bn NVIDIA + \$0.5bn Prince George). Management targets \$3.7bn AI-cloud ARR exiting CY2026 vs FY25 group revenue of just \$501m.
- **Reason 2 - Owned power is the scarce asset:** IREN controls ~5GW of secured grid power, including the 750MW Childress (TX) campus (operational) and the 2GW Sweetwater (TX) hub (Sweetwater 1, 1.4GW, energized Apr-2026). In an AI build-out gated by interconnect queues, self-developed, energized, low-cost power is a durable moat most GPU-cloud entrants cannot replicate quickly.
- **Reason 3 - Vertical integration + a clean-ish balance sheet for the cohort:** IREN develops, owns and operates its sites (vs leasing), and is the only listed Bitcoin-miner-turned-AI peer with positive TTM net income (\$158m) and \$2.21bn cash. It funds growth with low-coupon converts (1.00% notes due 2033) and capped calls rather than pure equity, partially containing dilution.
- **Near-term catalyst (6-12 months):** Conversion of contracted ARR into realized, recurring AI-cloud revenue as Horizon 1-4 (480MW at Childress) energize through end-2026 - the first quarters where AI revenue visibly overtakes a shrinking Bitcoin-mining base will re-rate or de-rate the stock.
- **Biggest structural risk:** The model is capital-intensity on steroids - \$2.7bn TTM capex, \$3.96bn debt and 52% YoY share dilution funding a GPU/data-centre arms race whose end-demand (and pricing) depends on a handful of hyperscaler counterparties and on AI-compute economics staying tight. At 34x EV/sales, any slip in

the ramp is repriced violently (beta 4.18).

3. BUSINESS OVERVIEW

- **What it does:** IREN Limited (formerly Iris Energy; NASDAQ-listed, Australian-founded) builds and operates large-scale, vertically-integrated data centres powered by low-cost, largely renewable grid power. Two engines: (i) self-mining Bitcoin and (ii) the rapidly-scaling AI Cloud / HPC business renting NVIDIA GPU compute and colocation to hyperscalers and AI labs.
- **Strategic pivot:** The company is actively decommissioning older Bitcoin-mining hardware and reallocating energized capacity to AI Cloud, which it calls the higher-value, long-term opportunity. Bitcoin mining is now the legacy cash engine funding the AI transition rather than the destination.
- **Revenue mix:** FY25 revenue (\$501m) was predominantly Bitcoin mining; AI Cloud is ramping from a small base. Q3 FY26 group revenue was \$144.8m, with AI Cloud contribution still early - the inflection is contractual (\$3.1bn ARR signed) rather than yet realized in the P&L.
- **Key customers / contracts:** Microsoft (5-yr, \$9.7bn, GB300 capacity, 20% prepaid) is the anchor; NVIDIA (\$3.4bn / 5GW partnership); plus GPU deployments at Prince George (~\$0.5bn ARR). GPU hardware is procured via Dell (~\$5.8bn). These are multi-year, take-or-pay-style cloud contracts - recurring, but concentrated.
- **Asset footprint (~5GW secured power):** Childress, TX (750MW, operational, Horizon 1-4 = 480MW by end-2026, Horizon 5-6 in 2027); Sweetwater, TX (2GW hub; Sweetwater 1 = 1.4GW energized Apr-2026; Sweetwater 2 = 600MW late-2027); British Columbia, Canada (Canal Flats, Mackenzie, Prince George); plus pipeline at Kiowa (TX) and Nostrum, Spain (+490MW, 2028+).
- **Recent developments (last 12 months):** \$9.7bn Microsoft deal (Nov-25); \$3.4bn NVIDIA AI-cloud contract & 5GW partnership (May-26); Sweetwater 1 energization (Apr-26); serial convertible raises (\$3.0bn 1.00% notes due 2033 plus \$2.0-2.6bn structures in May-26) to fund GPU and data-centre capex.
- **Promoters / ownership:** Co-founded Nov-2018 by brothers Daniel and Will Roberts (Daniel is Co-Founder & Co-CEO). Insiders own ~8.3%; institutions ~47.2%. No controlling promoter in the Indian sense - widely held with high founder visibility and an aggressive, growth-first capital strategy.

4. INDUSTRY & COMPETITIVE LANDSCAPE

- **Two industries converging:** (1) Bitcoin mining - cyclical, post-April-2024-halving economics with rising global hashrate compressing per-unit mining margins; and (2) AI / HPC data centres - structurally short of energized capacity. Daniel Roberts: "The world is structurally short compute, and the bottleneck is delivered data centre and GPU capacity."
- **Market size & growth:** AI data-centre / accelerated-compute infrastructure spend is widely forecast to scale into the hundreds of billions of dollars annually through 2030 (hyperscaler capex guidance + GPU supply ramps). IREN's addressable slice is power-gated colocation + GPU-cloud - the segment with the tightest supply and best pricing today.
- **Policy / structural tailwinds:** US (ERCOT) interconnection scarcity favours incumbents with energized power; abundant Texas wind/solar supports low-cost, lower-carbon PPAs; hyperscaler AI capex super-cycle. Headwinds: grid-interconnect timelines, power-price volatility, potential data-centre power regulation, and Bitcoin price/halving cyclicity.
- **Competitive moat - graded:** Self-developed energized power = **Strong** (years of lead time to replicate); Scale / 5GW pipeline = **Strong**; Switching costs once GPUs are colocated under multi-year contracts = **Moderate**; Pricing power = **Moderate** (hyperscaler counterparties are large and few); Proprietary IP / software = **Weak** (commodity NVIDIA hardware - differentiation is power + execution, not silicon).
- **Value-chain positioning:** IREN sits upstream/midstream - power developer + data-centre owner-operator + GPU-cloud provider. It is NOT a chip designer and not (yet) a full managed-AI-platform; the bet is that owning the physical bottleneck (power + buildings + GPUs) captures durable economics as model-layer margins commoditise.
- **Peer set:** Bitcoin-miners pivoting to AI/HPC - RIOT, MARA, CleanSpark (CLSK), Core Scientific (CORZ), Cipher Mining (CIFR), TeraWulf (WULF). IREN is the largest by market cap (\$23.8bn) and the only one with positive TTM net income, and it carries the cohort's richest revenue multiple (see table).

Listed peer comparison - data from stockanalysis.com, fetched 03-Jun-2026. P/E n/a across peers (loss-making); IREN P/E flattered by non-operating fair-value gains.

Company (Ticker)	CMP (\$)	Mkt Cap	TTM Rev	P/B	ROE	ROCE
IREN - IREN	66.60	\$23.80B	\$757.1M	8.5x	7.7%	(3.4)%
Riot Platforms - RIOT	27.32	\$10.33B	\$653.3M	4.3x	(33.0)%	(27.4)%
Cipher Mining - CIFR	26.29	\$10.75B	\$209.8M	14.9x	(113.9)%	(11.4)%
Core Scientific - CORZ	29.05	\$9.23B	\$354.7M	N/A	(38.0)%	(51.6)%
MARA Holdings - MARA	14.28	\$5.44B	\$867.8M	2.4x	(70.3)%	(30.7)%
CleanSpark - CLSK	17.58	\$4.51B	\$739.9M	4.6x	(32.0)%	8.3%

Read-through: every Bitcoin-mining peer is deeply loss-making (negative ROE/ROCE). IREN's positive ROE (7.7%) is driven by convertible-note fair-value gains, not operations (operating ROCE is negative). The market awards IREN a ~33x EV/sales premium for the Microsoft/NVIDIA anchor and owned-power scale - the highest in the group.

5. MANAGEMENT QUALITY & CAPITAL ALLOCATION

- **Founders:** Brothers Daniel and Will Roberts founded the company in Nov-2018; Daniel Roberts is Co-Founder & Co-CEO. Backgrounds in infrastructure finance/structuring - relevant to a business that is fundamentally a power-and-capital-markets execution play. Track record: scaled revenue from under \$10m (FY21) to \$501m (FY25) and secured ERCOT power ahead of the AI rush.
- **Capital-allocation track record - aggressive, growth-first:** 100% of free cash has been reinvested (and then some) - cumulative FCF is deeply negative as the company front-loads data-centre and GPU capex (\$2.7bn TTM). No dividends, no buybacks. The bet is land-grab now, monetise later; appropriate for the opportunity but unforgiving of execution error.
- **Financing strategy:** Funds growth via low-coupon convertible notes (e.g. \$3.0bn 1.00% notes due 2033, 32.5% conversion premium) paired with capped calls (cap ~\$110.30) to blunt dilution, plus periodic equity. This

is sophisticated relative to peers who diluted heavily - but it has still driven shares outstanding +52% YoY and layered on \$3.96bn of debt.

- **Dividend policy:** None and none expected - all capital is needed for the AI build-out. Appropriate at this stage; investors are buying growth/optionality, not income.

- **Dilution & SBC watch:** Stock-based compensation reached \$181m TTM (up from \$43m in FY25) and basic shares rose to ~357m. Dilution is the single biggest hidden cost to per-share value and must be tracked against ARR delivery.

- **Governance:** No promoter-pledge concept (US). Key flags to monitor: extreme reliance on serial convertible issuance, fair-value accounting that swings reported earnings by hundreds of millions per quarter, customer concentration (Microsoft), and the inherent conflict of decommissioning a still-cash-generative mining fleet to chase AI. No auditor or going-concern red flags identified; liquidity is strong (\$2.21bn cash).

6. FINANCIAL DEEP-DIVE (USD millions; FY ends 30-Jun)

Income Statement (FY26E/FY27E are analyst estimates - see assumptions below; GAAP net income/EPS for forwards marked N/M due to fair-value volatility)

Line item (USD m)	FY23	FY24	FY25	FY26E	FY27E
Revenue	75.5	187.2	501.0	745	2,300
Gross Profit	36.1	100.1	342.0	470	1,500
Adj. EBITDA	(126.6)	23.2	198.5	255	1,100
EBITDA Margin %	(167.6)%	12.4%	39.6%	~34%	~48%
Operating Income (GAAP)	(157.2)	(27.2)	17.3	N/M	N/M
Net Income (GAAP)	(171.8)	(28.9)	86.9	N/M	N/M
EPS - Diluted (\$)	(3.14)	(0.29)	0.39	N/M	N/M

Note: TTM (to Mar-26) revenue \$757.1m, net income \$158.0m (flattered by +\$556.7m non-operating fair-value income); TTM adj. EBITDA ~\$147m. FY25 EBITDA \$198.5m. GAAP operating income turned sharply negative in H2 FY26 (Q3 FY26 op. income -\$233.5m) on mining-hardware impairments and the AI ramp.

Balance Sheet (FY actuals + latest TTM, Mar-26)

Line item (USD m)	FY23	FY24	FY25	Mar-26
Cash & Equivalents	68.9	404.6	564.5	2,213
Net Property, Plant & Equip.	242.5	442.7	1,932	4,373
Total Assets	332.1	1,153	2,940	7,265
Total Debt	1.5	1.3	964.2	3,965
Total Liabilities	26.7	55.4	1,123	4,600
Shareholders' Equity	305.4	1,097	1,817	2,665
Net Cash / (Debt)	67.5	403.3	(399.7)	(1,752)
Book Value / Share (\$)	5.57	11.01	8.14	8.41

Cash Flow (USD m)

Line item (USD m)	FY23	FY24	FY25	Mar-26 TTM
Operating Cash Flow	5.7	52.2	245.9	392.4
Capital Expenditure	(116.1)	(479.9)	(1,373)	(2,714)
Investing Cash Flow	(71.5)	(498.5)	(1,380)	(2,979)
Financing Cash Flow	28.6	782.6	1,295	4,615
Free Cash Flow	(110.3)	(427.7)	(1,127)	(2,321)
Stock-Based Comp.	14.4	23.6	42.6	180.8

Returns & Ratios

Ratio	FY23	FY24	FY25	TTM
ROCE %	(39.6)%	(3.9)%	0.9%	(3.4)%
ROE %	(46.3)%	(4.1)%	6.0%	7.7%
ROIC %	(44.1)%	(6.5)%	1.1%	(5.9)%
Current Ratio (x)	3.72	8.86	4.29	3.72
Debt / Equity (x)	0.00	0.00	0.53	1.49
EV / EBITDA (x)	n/a	73.9	21.0	173.6

FY26E / FY27E estimate assumptions: FY26E revenue \$745m = 9M-FY26 actual (\$569.8m: Q1 \$240.3m + Q2 \$184.7m + Q3 \$144.8m) + Q4E ~\$175m, as a shrinking mining base is only partly offset by early AI-cloud revenue. FY27E \$2,300m assumes a partial-year realisation of the \$3.7bn exit-2026 AI-cloud ARR plus residual mining. Margins lift as high-margin AI-cloud mix rises. Net income/EPS left N/M because quarterly fair-value remeasurement of convertible notes swings GAAP earnings by +/- \$200-650m and is not forecastable.

Financial commentary

- **Revenue:** 6.6x growth FY23 to FY25 (\$75m to \$501m); TTM \$757m. But growth has turned *sequentially negative* (Q1 FY26 \$240m to Q2 \$185m to Q3 \$145m) as legacy mining is wound down faster than AI-cloud

revenue ramps - the J-curve trough before contracted ARR converts.

- **Margins:** FY25 adj. EBITDA margin hit 39.6% (a genuine operating high), but H2 FY26 GAAP operating income swung deeply negative (Q3 op. income -\$233.5m) on ~\$140m mining-hardware impairments plus SG&A/D&A from the AI build-out. Reported net income is dominated by non-operating fair-value moves, not trading performance.

- **Working capital / receivables:** Accounts receivable jumped to ~\$69m (from near-zero) as AI-cloud billing begins - a leading indicator of the revenue transition, but one to watch for collection/concentration risk.

- **Balance sheet:** Net cash flipped to net debt of \$1.75bn; total debt \$3.96bn (mostly convertibles) vs \$2.21bn cash. D/E 1.49x. Liquidity is ample today but the model depends on continued capital-markets access to fund the GPU/data-centre pipeline.

- **FCF quality:** Poor by design - OCF \$392m TTM is dwarfed by \$2.7bn capex, so FCF is -\$2.3bn. This is an investment-phase cash burn funded by debt/equity, not a distressed burn; the key question is whether contracted ARR converts to cash before funding windows tighten.

7. EARNINGS QUALITY CHECKLIST

Quality signal	Rating	Analyst comment
Reported PAT vs operating reality	RED	TTM net income \$158m is driven by +\$557m non-operating fair-value gains on convertibles; operating income is negative. Reported PAT overstates economic earnings.
Revenue recognition	AMBER	Mining revenue clean; AI-cloud revenue is new, multi-year and prepaid (Microsoft 20% prepay) - recognition timing / ARR-to-revenue conversion must be tracked.
Receivables vs revenue	AMBER	AR spiked to ~\$69m from near-zero as AI billing starts - normal for the ramp, but concentration (Microsoft) raises single-counterparty exposure.
Free cash flow	RED	FCF -\$2.3bn TTM; OCF covers only ~14% of capex. Investment-phase by design, but reliant on perpetual capital-markets access.
Dilution / share count	RED	Shares +52% YoY; SBC \$181m TTM. Per-share value leakage is material even with capped calls.
Leverage	AMBER	Net debt \$1.75bn, D/E 1.49x, interest coverage -5.6x. Mostly low-coupon converts; manageable while equity is strong, risky if the stock de-rates.
Impairments / asset quality	AMBER	\$140m Q3 mining-hardware impairment; more expected as fleet is decommissioned for AI - non-cash but signals stranded-asset risk in the legacy book.
Tax & other-income normalcy	RED	Effective tax erratic; 'other income' (fair-value) is the swing factor in PBT - earnings are low-quality and hard to model.
Liquidity / going concern	GREEN	\$2.21bn cash, current ratio 3.7x; no going-concern flag. Strongest balance sheet in the peer cohort.

- **Headline caution (RED):** Do not anchor on reported P/E (122.6x) or net income - quarterly results are dominated by non-cash fair-value remeasurement of convertible notes (swings of +\$654m to -\$227m across the last three quarters). Use adjusted EBITDA, contracted ARR and energized MW as the real scorecard.
- **Dilution is the silent tax (RED):** 52% YoY share growth and \$181m SBC erode per-share value; capped calls help but do not neutralise it. Judge every ARR milestone on a per-share basis.
- **Strengths (GREEN):** Best-in-cohort liquidity (\$2.21bn cash, 3.7x current ratio) and a positive operating-EBITDA FY25 - IREN is not a distressed miner, it is an aggressively-financed builder.
- **Net:** Earnings quality is low and the print is noisy; the investment case rests on contracted-ARR delivery and energized capacity, which must be verified each quarter rather than inferred from GAAP EPS.

8. VALUATION

Peer multiples - stockanalysis.com, fetched 03-Jun-2026. P/E n/a for peers (all loss-making); cohort is best compared on EV/sales and P/B.

Company	CMP (\$)	Mkt Cap	EV	TTM Rev	P/B	ROCE
IREN	66.60	\$23.80B	\$25.55B	\$757.1M	8.5x	(3.4)%
Riot (RIOT)	27.32	\$10.33B	\$11.00B	\$653.3M	4.3x	(27.4)%
Cipher (CIFR)	26.29	\$10.75B	\$14.79B	\$209.8M	14.9x	(11.4)%
Core Sci. (CORZ)	29.05	\$9.23B	\$10.39B	\$354.7M	N/A	(51.6)%
MARA	14.28	\$5.44B	\$7.40B	\$867.8M	2.4x	(30.7)%
CleanSpark (CLSK)	17.58	\$4.51B	\$6.04B	\$739.9M	4.6x	8.3%

Scenario analysis (12-month; valued on FY27E revenue x EV/Sales, given GAAP earnings are not meaningful)

Scenario	Key assumptions	FY27E Rev	EV/Sales	Target	Return
Bull	ARR hits \$3.7bn exit-26; Microsoft+NVIDIA+expansion deliver; multiple holds premium	\$2,800M	13x	\$120	+80%
Base	Ramp largely on-track; multiple normalises toward cohort as revenue grows	\$2,300M	12x	\$75	+13%
Bear	Ramp slips / BTC drag; funding tightens; de-rate to peer-like multiple + dilution	\$1,500M	7x	\$32	(52)%

- **Why not P/E or DCF-to-earnings:** GAAP earnings are distorted by convertible fair-value swings and the business is pre-inflection, so a clean DCF has an unusable near-term base. We anchor on forward EV/Sales (and cross-check EV/EBITDA on contracted ARR).

- **Multiple-based value:** Base case FY27E revenue ~\$2,300m x 12x EV/sales ~ \$27.6bn EV; less ~\$1.75bn net debt ~ \$25.8bn equity / ~357m shares (pre further dilution) ~ **\$72-75**. We round the base target to **\$75**.

- **ARR / EV cross-check:** \$3.1bn contracted ARR at a 7-8x EV/ARR (premium infra-compute) ~ \$22-25bn EV - broadly supportive of today's \$25.6bn EV, i.e. the current price already capitalises most contracted ARR with little margin of safety.

- **Blended 12-month base target: \$75** (+12.6% vs CMP \$66.60), modestly below the Street's \$79.84. The asymmetry is unattractive at spot: ~+80% bull vs ~-52% bear, but entry price is poor after a 7x, 12-month run.

9. KEY RISKS

- **Execution / ramp risk** - AI-cloud ARR (\$3.1bn contracted) must convert to energized GPUs and recognised revenue on schedule (Horizon 1-4, 480MW by end-2026). Slippage in GPU delivery, liquid-cooling or grid energization delays the inflection. Prob: M. Impact: H. Monitor: energized MW & GPUs online per quarter.

- **Customer concentration** - Microsoft is the anchor (~\$1.9bn of \$3.1bn ARR). Any renegotiation, delay or non-renewal would gut the thesis. Prob: L-M. Impact: H. Monitor: contract milestones, prepayment drawdown, customer commentary.

- **Funding / dilution risk** - The model needs continuous capital-markets access; a closed convert window or lower share price raises funding cost and dilution. Prob: M. Impact: H. Monitor: convert issuance terms, cash runway vs capex schedule, share count.

- **Valuation / de-rating risk** - At ~33x EV/sales and beta 4.18, the stock is priced for flawless execution; any miss reprices hard (Q3 FY26 already missed revenue by ~34%). Prob: M-H. Impact: H. Monitor: EV/forward-sales vs cohort, short interest (14% of float).

- **Bitcoin / legacy drag** - Mining margins compress post-halving with rising hashrate; decommissioning drives further impairments and near-term revenue declines before AI fills the gap. Prob: H. Impact: M. Monitor: BTC price, network difficulty, impairment charges.

- **Earnings-quality / accounting noise** - Convertible fair-value remeasurement swings GAAP results by hundreds of millions per quarter, obscuring the operating trend and unsettling less-sophisticated holders. Prob: H. Impact: M. Monitor: adj. EBITDA vs GAAP bridge.
- **Power / regulatory risk** - ERCOT price spikes, interconnection policy, or data-centre power regulation could raise costs or cap growth. Prob: L-M. Impact: M. Monitor: PPA pricing, ERCOT policy, curtailment events.

10. RECOMMENDATION

- **Rating: HOLD** (conviction: **HIGH** on valuation/volatility risk). A genuinely transformational AI-cloud pivot, but the entry price already discounts most of the contracted ARR with negligible margin of safety after a +693% 12-month move.
- **12-month price target: \$75** (+12.6% vs CMP \$66.60); base case on FY27E revenue x 12x EV/sales. Street consensus \$79.84.
- **Suggested accumulation zone: \$45-\$52** (near the 50-/200-day averages of \$48.8 / \$46.2) - where risk/reward on the AI optionality turns favourable.
- **Investment horizon: 12-24 months** - long enough to see contracted ARR convert to recurring cash; this is not a trade to chase at spot.
- **Ideal investor:** risk-tolerant growth/thematic investors sizing AI-infrastructure optionality as a *small, volatility-budgeted* position. NOT for income, value, or low-volatility mandates, or anyone who cannot stomach 50%+ drawdowns (beta 4.18).

Thesis-invalidation triggers (the call is wrong if):

- Contracted AI-cloud ARR fails to convert - i.e. realised AI-cloud revenue is not visibly ramping (and overtaking mining) across the next 2-3 quarters as Horizon 1-4 energize.
- A material adverse change to the Microsoft or NVIDIA contracts (delay, downsize, dispute), or cash runway falls below the committed GPU/data-centre capex schedule.
- EV/forward-sales compresses toward the loss-making peer cohort (~4-6x) without offsetting revenue growth - signalling the AI premium has broken.

Upside trigger to upgrade to BUY: two consecutive quarters of on-plan AI-cloud revenue recognition with adj.-EBITDA margin holding above the mid-30s%, on a stable-to-lower share count - would justify paying up.

APPENDIX - Latest Concall Brief: Q3 FY26 (quarter ended 31-Mar-2026)

Earnings released 07-May-2026 ("IREN Business Update and Q3 FY26 Results"). Source: company press release, investor deck & Q3 FY26 earnings call transcript.

CALL GRADE: CAUTIOUS

Signal	Status	Implication
Result quality	Weak	Revenue \$144.8m missed ~\$220m est (-34%); net loss \$247.8m incl. \$140m impairment.
Management tone	Bullish	Confident on AI-cloud / 5GW strategy despite the print - "world is structurally short compute."
Guidance delta	Raised	ARR ambition lifted to \$3.7bn exit-2026; 1,210MW in build for 2027 - forward step-up.

STRONGLY POSITIVE | POSITIVE | NEUTRAL | **CAUTIOUS** | NEGATIVE

TO MY BOSS

Headline is ugly but partly mechanical: Q3 revenue \$144.8m missed the ~\$220m Street bogey by a third and IREN posted a \$247.8m net loss - yet ~\$140m of that is a non-cash impairment from scrapping old mining rigs, and the quarter-to-quarter earnings swing is dominated by fair-value remeasurement of convertibles, not operations. The clean read is adjusted EBITDA of \$59.5m (down from \$75.3m QoQ) - a soft operating quarter as the legacy mining base shrinks faster than AI-cloud fills it (the J-curve trough). The structural story stepped UP, however: ARR under contract is \$3.1bn (\$1.9bn Microsoft + \$0.7bn NVIDIA + \$0.5bn Prince George) and management now targets \$3.7bn AI-cloud ARR exiting 2026 on ~5GW of secured power. The near-term catalyst is energization - Horizon 1-4 (480MW at Childress) and Sweetwater ramping GPUs online; that is when contracted ARR becomes recognised cash. The single biggest watch-point is funding/dilution: \$2.7bn TTM capex, \$3.96bn debt and serial convertible raises mean every quarter is a capital-markets event, and shares are up 52% YoY. Net: this is a credible owned-power AI builder, not a distressed miner - but at 33x EV/sales after a 7x run, the price already pays for the ramp. Action: HOLD into strength; accumulate only on a pullback to \$45-52. Do not chase \$66.

Concall 1 - Financial Performance Snapshot

- Revenue: \$144.8m | YoY ~flat (Q3 FY25 \$144.8m) | QoQ -21.6% (Q2 FY26 \$184.7m) | **Miss (-34% vs ~\$220m est)**.
- Adjusted EBITDA: \$59.5m | QoQ -21% (\$75.3m) | **Soft** - mining wind-down outpacing AI ramp.
- GAAP Operating Income: -\$233.5m | vs -\$116.4m QoQ | **Miss** - impairments + AI build-out costs.
- Net Income: -\$247.8m | EPS (diluted) -\$0.74 | distorted by non-operating fair-value & impairment.
- NOTE: net loss includes ~\$140.4m non-cash impairment from decommissioning mining hardware; clean operating proxy is adj. EBITDA \$59.5m.

Concall 2 - Segment / Business-line Breakdown

- Bitcoin Mining (legacy): still the bulk of recognised revenue but actively shrinking as rigs are decommissioned and capacity reallocated to AI.
- AI Cloud (growth): early-stage recognised revenue; ~74k GPUs contracted/deploying across British Columbia and Childress; the contracted-to-recognised gap is the whole story.
- Geography: Texas (Childress 750MW operational; Sweetwater 1 1.4GW energized Apr-26) + British Columbia, Canada (Canal Flats, Mackenzie, Prince George).

Concall 3 - Management Commentary Themes

- Compute scarcity: "The world is structurally short compute, and the bottleneck is delivered data centre and GPU capacity." - Our read: positions owned power as the moat. Tag: GUIDANCE. Tone: Transparent.
- AI-first reallocation: mining hardware being decommissioned for higher-value AI cloud; further impairments expected. - Our read: deliberate trade-off, honestly flagged. Tag: GUIDANCE. Tone: Transparent.
- ARR build: \$3.1bn under contract, targeting \$3.7bn exit-2026. - Our read: the key forward metric; credibility hinges on energization. Tag: GUIDANCE. Tone: Confident.
- Capacity pipeline: 1,210MW in build for 2027; Sweetwater/Kiowa/Nostrum (Spain) beyond. - Our read: ambition intact and expanding. Tag: EST. Tone: Bullish.

Concall 4 - Operating & Business Metrics

- Contracted AI-cloud ARR: \$3.1bn (Q3) | targeting \$3.7bn exit-CY26 | Trend: improving.
- GPUs contracted/deploying: ~74k across BC + Childress | Trend: ramping.
- Secured power: ~5GW | Childress 750MW operational; Sweetwater 1 1.4GW energized | Trend: improving.
- Adjusted EBITDA: \$59.5m (Q3) | \$75.3m (Q2) | Trend: deteriorating near-term (transition trough).

Concall 5 - Margin Drivers

- Mining-hardware impairment: ~\$140m to GAAP | Recurring: No (but more expected during transition) | Non-cash.
- AI build-out opex/D&A: rising SG&A and depreciation ahead of AI revenue | Recurring: Yes (until ARR converts) | margin drag now, leverage later.
- Convertible fair-value remeasurement: large swing in non-operating line | Recurring: No | excluded from adj. EBITDA - do not extrapolate.
- Revenue mix shift: high-margin AI cloud rising vs lower-margin mining | Recurring: Yes | the structural margin upside once energized.

Concall 6 - Guidance & Forward Signals

- AI-cloud ARR [GUIDANCE]: prior ~\$3.4bn | new \$3.7bn exit-CY26 | Delta: raised | Credibility: Medium (energization-dependent).
- 2027 capacity [GUIDANCE]: 1,210MW in build | Delta: reiterated/expanded | Credibility: Medium.
- Impairments [GUIDANCE]: further non-cash mining-hardware impairments expected | Delta: new caution | Credibility: High.
- Capex/funding [EST]: continued GPU (Dell ~\$5.8bn) + data-centre spend funded by converts/equity | Credibility: Medium - capital-markets-dependent.

Concall 7 - Capital Allocation

- Capex: ~\$2.7bn TTM | vs prior year sharply higher | funding GPU + Horizon/Sweetwater build.
- Convertible notes: \$3.0bn 1.00% due 2033 (32.5% premium) + capped calls (cap ~\$110.30); further \$2.0-2.6bn raised May-26 | extends maturities, manages dilution.
- Dividends / buybacks: none | all capital reinvested into the AI build-out.
- Net debt: ~\$1.75bn (from net cash a year ago) | cash \$2.21bn vs debt \$3.96bn.

Concall 8 - Q&A Heat Map

- Analysts (multiple): Q: how fast does contracted ARR convert to recognised revenue? -> A: phased through 2026 with Horizon energization | Tone: Transparent.

- Analysts: Q: magnitude/cadence of further mining impairments? -> A: more expected as fleet is decommissioned, non-cash | Tone: Transparent.
- Analysts: Q: funding plan / dilution for the GPU + data-centre capex? -> A: converts + capped calls + equity, maturities extended | Tone: Hedged (specifics light).
- Dodged / watch-list for next quarter: precise AI-cloud revenue recognition timing, GPU-delivery schedule risk, and Microsoft milestone/prepayment drawdown cadence.

Concall 9 - Risks Flagged

- Mining-hardware impairments: ongoing during transition | Flagged by: mgmt | Prob: H | Impact: M | Timeline: near-term.
- Energization / GPU-delivery timing: gates AI revenue recognition | Flagged by: analysts | Prob: M | Impact: H | Timeline: near-medium.
- Funding / dilution: reliance on serial convertible issuance | Flagged by: analysts | Prob: M | Impact: H | Timeline: ongoing.
- Customer concentration: Microsoft anchor | Flagged by: analysts | Prob: L-M | Impact: H | Timeline: medium-term.

Concall 10 - Analyst Verdict

- Revenue visibility: Intact - \$3.1bn contracted ARR underpins multi-year recognition, but timing is the swing factor.
- Margin trajectory: Weakened (near-term) - transition trough + impairments; structurally improving as AI mix rises.
- Capital-allocation quality: Cannot fully assess - aggressive, sophisticated financing, but per-share value depends on dilution discipline.
- Competitive moat: Intact - owned ~5GW energized power is the scarce, durable asset.
- Management credibility: Intact - guidance raised and risks (impairments) flagged honestly; must now deliver energization.
- Valuation comfort: Broken - ~33x EV/sales prices in the ramp; little margin of safety at spot.
- Conviction call: Unchanged - HOLD; accumulate on weakness (\$45-52).
- Valuation snapshot: P/E 122.6x (not meaningful - fair-value-distorted) | EV/EBITDA 173.6x (TTM) vs FY25 21.0x | ROCE -3.4% (FY25 0.9%).

Disclaimer: Prepared for informational purposes only; not investment advice or an offer to buy/sell securities. All financial figures sourced from stockanalysis.com (fetched 03-Jun-2026); qualitative context from SEC filings, IREN press releases and the Q3 FY26 earnings call. Forward estimates marked (E) are illustrative and carry high uncertainty given the business transition and fair-value accounting. The analyst/firm may not hold a position. Do your own due diligence.